

Al level Economics

Chp:- Demand and Supply

Topic:- Signalling vs Rationing

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The functions of price in resource allocation

The workings of the price mechanism: It plays a key role in the allocation of resources in a market. The Scottish economist Adam Smith (1723 - 1790) stressed the importance of the workings of the price mechanism to a successful economy describing prices as 'invisible hand' in allocating scarce resources.

Rationing: Prices also perform a key function as a rationing mechanism; for example, if the supply of a product cannot match the demand for it, the price of a product is likely to rise and this will ration the product because only those who are able to pay the higher price will be able to afford it.

Signalling and the transmission of preferences: Changes in the price of different products, in response to changes in demand and supply of them can act as signals indicating which resources will be needed to produce some products rather than others. In this way, the price mechanism provides a means by which consumers can transmit their preferences for certain products. This is termed signalling.

Incentivising: In a competitive market, that is working efficiently, all economic agents for e.g. individuals and firms, need to be able to respond to incentives within that market. For e.g. if there is an increase in the demand for a product and the price goes up, firms will know that for selling each product they will receive a higher average level of revenue per unit and so the possibility of earning a higher profit acts as an incentive.

Price mechanism

Price mechanism, where prices are determined by the forces of demand and supply, where prices provides signal to the producer to allocates resources from society's point of view.

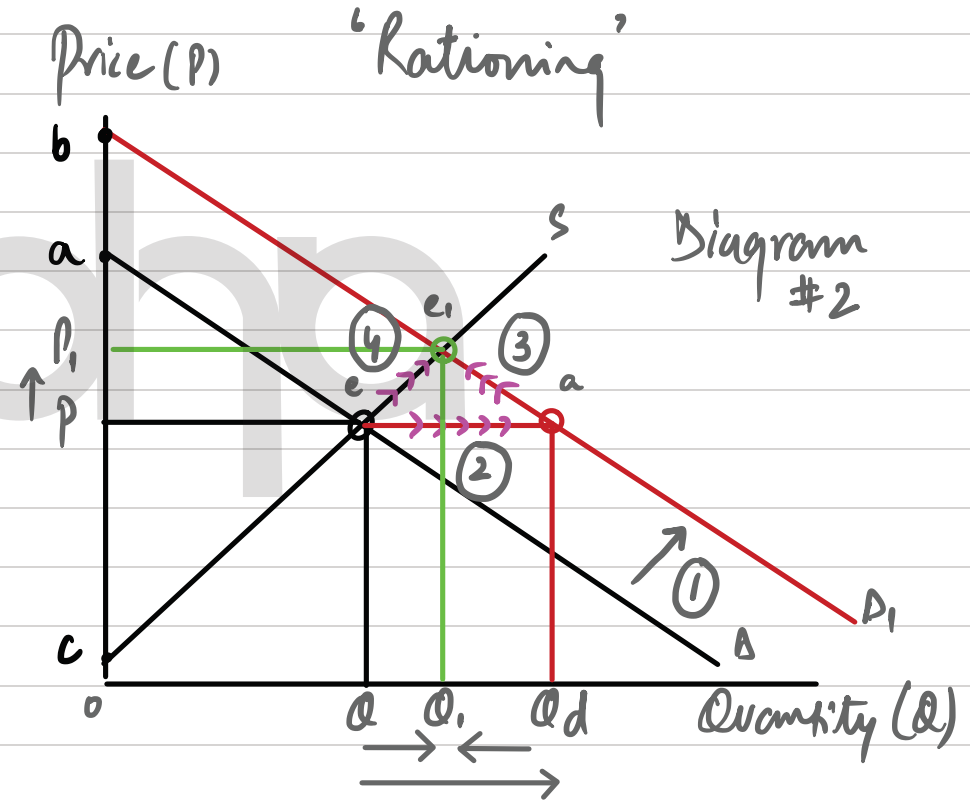
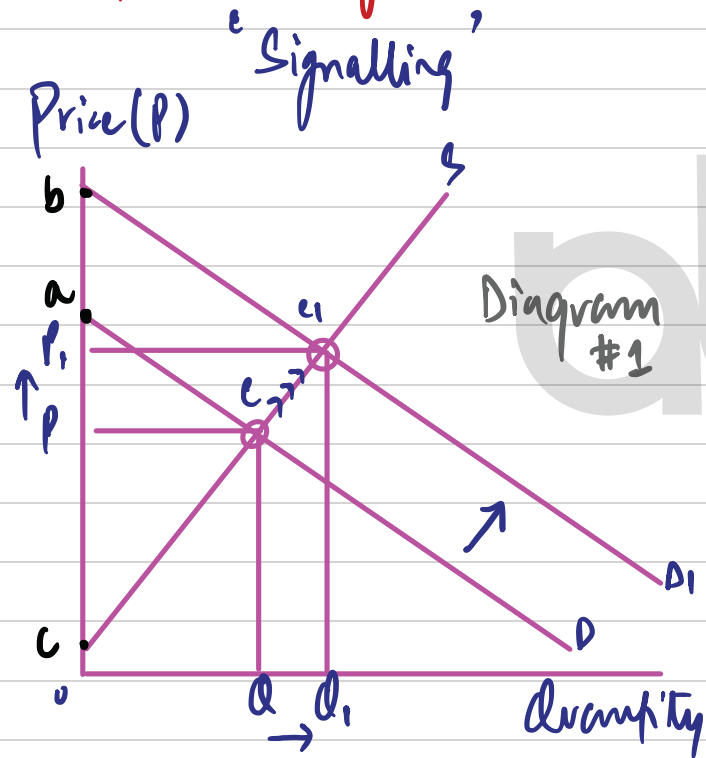
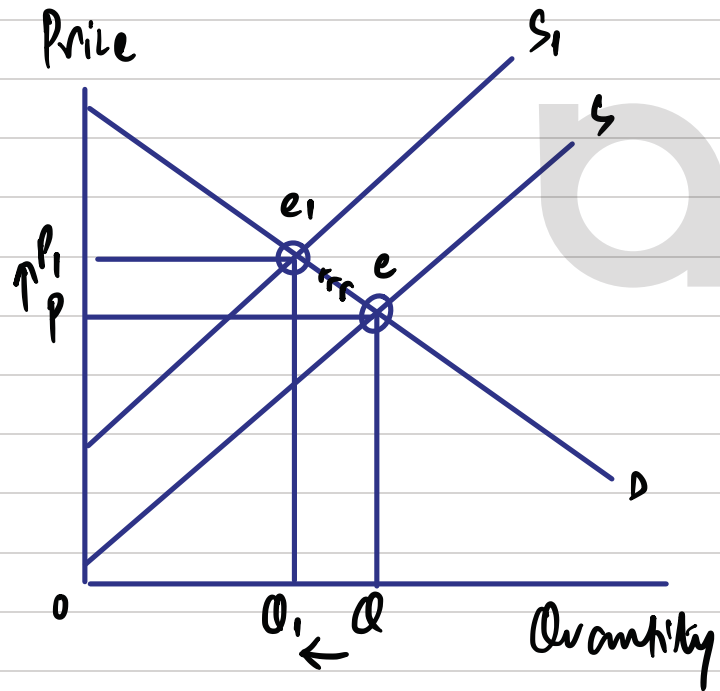


Diagram #2:-

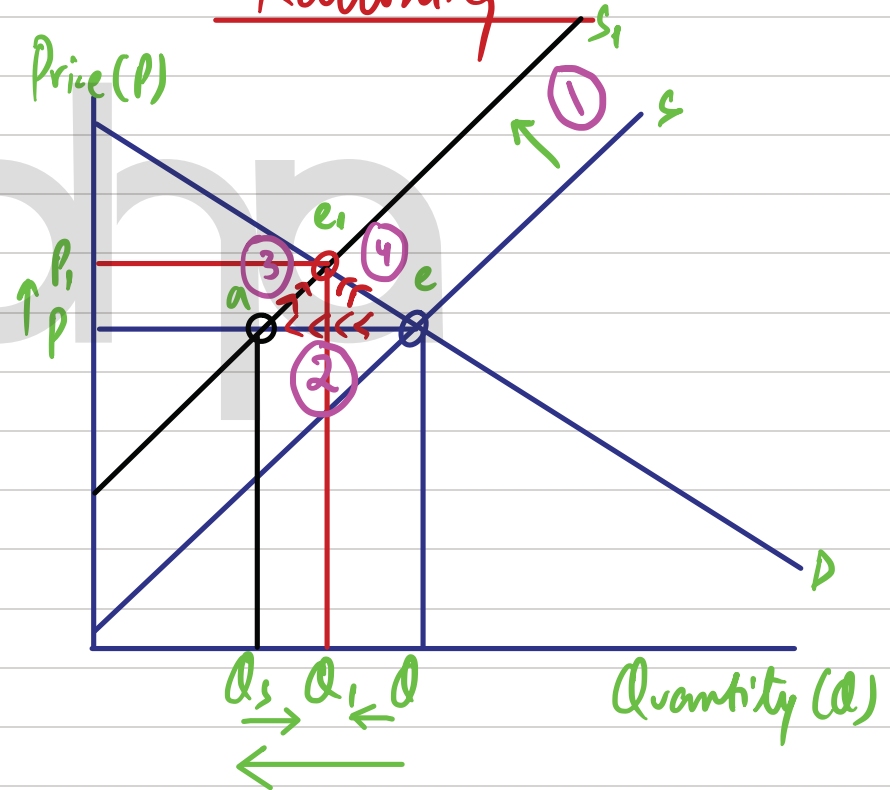
An increase in demand from D to D_1 due to increase in income, will create shortage (Quantity demanded exceeds quantity supplied) as consumers are demanding more of it at the same price. This shortage will be eliminated, as prices will start to rise which contracts quantity demanded and extends quantity supplied. This is how a new equilibrium is established, that is price rations scarce goods.

Price mechanism

Signalling



Rationing



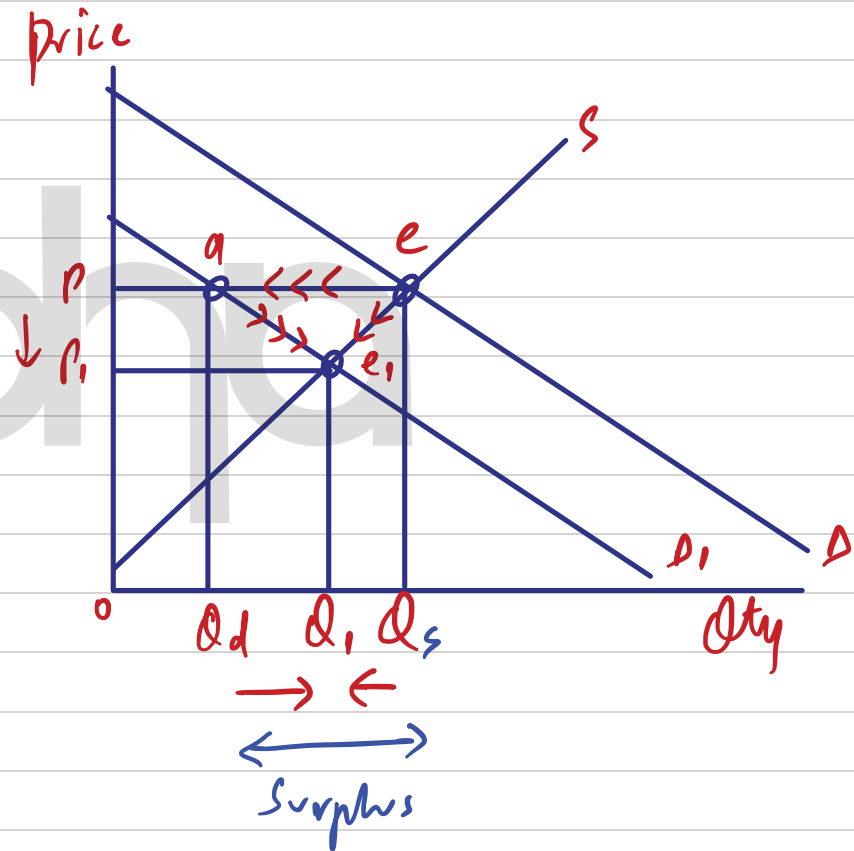
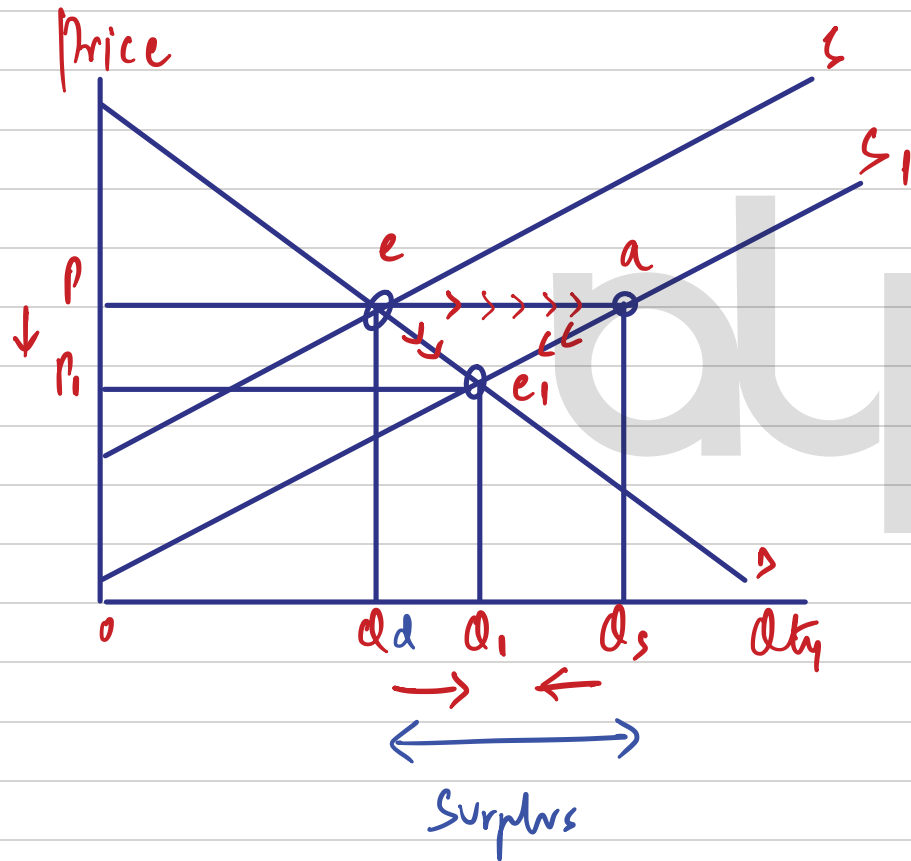
Note:-

A decrease in supply from S to S_1 due to imposition of indirect tax, a producer is willing to supply less (at Q_s) at equilibrium price because of rise in cost of production, consumers are still willing to purchase the same units, resulting in shortage (quantity demanded exceeds quantity supplied).

This causes a rise in price level, which contracts quantity demanded and extends quantity supplied. This is how a new equilibrium is established.

How a new equilibrium is established?

1) Supply $\uparrow$



Questions

Marks: 16

Q1 Using a diagram, explain how a new equilibrium is established if there is an increase in demand? (8)

Ans:- Define Equilibrium and dis-equilibrium + Diagram (X-MEN)

Diagram, showing Increase in demand, clearly showing shortage

Diagram explanation

Q2 Using a diagram, explain how a new equilibrium is established if there is a fall in supply? (8)